Executive Overview: Transforming Hitachi High-Tech into a Cloud-First Enterprise

Modernizing Core Operations with SAP S/4HANA Cloud, SAP Analytics Cloud & SAP BTP

The Transformation Mandate & Vision

• Customer Partnership: Joining your initial engagement team to modernize operations across 26+ countries.

• Overcoming Legacy Calcification: Moving beyond 30 years of on-premise SAP R/3 legacy debt and ~9,000 custom add-ons.

• Clean Core Paradigm: Enforcing standard out-of-the-box Best Practices to restore enterprise speed.

• Targeted Business Agility: Slashing operational calcification to pivot faster in high-tech markets.

Target Cloud Architecture (Two-Tier Model)

• SAP S/4HANA Cloud (Two-Tier): Private Edition for complex HQ manufacturing plants; Public Edition for agile sales subsidiaries.

• SAP Business Technology Platform (BTP): Foundation for clean core side-by-side apps and SAP Integration Suite APIs.

• SAP Analytics Cloud (SAC): Live corporate reporting, automated KPI cockpits, and predictive financial forecasting.

• Strategic Outcome: Eliminating 94% of legacy custom code with zero operational disruption to customers.

Macro Industry Context & Strategic Motivations

External Realities and Strategic Rationale Driving Hitachi High-Tech's Evolution

Macro Industry Forces & Trends

• Geopolitical Supply Chain Realignment: US/EU CHIPS Acts driving localized fab expansions, requiring agile global inventory management.

• AI & Sub-2nm Nanoscale Demands: Surging need for zero-defect precision in semiconductor etching and metrology tools.

• Healthcare Diagnostic Automation: High-throughput clinical chemistry analyzers requiring automated consumable replenishment.

• Enterprise Clean Core Mandate: Industry-wide migration to cloud ERP, retiring unmaintainable bespoke legacy code.

• Global ESG Mandates: Strict Scope 1-3 carbon tracking and international compliance (FDA/IVDR, RoHS/REACH).

Customer Strategic Motivations ('The Why?')

• Motivation 1 — Overcoming Legacy Technical Debt: Eliminating 9,000 custom add-ons to restore agility and enable regular biannual cloud software upgrades.

• Motivation 2 — Harmonizing Global Operations: Unifying 26+ disparate international operating entities onto a standardized global core.

• Servitization Growth: Powering high-margin business models like Equipment-as-a-Service and predictive field maintenance.

• IT Modernization: Transitioning enterprise IT from a legacy maintenance cost center into a business growth catalyst.

Targeted Business Outcomes & Discovery Frameworks

Clear Measurable Business Goals Supported by PESTLE and Design Thinking Methodologies

Three (3) Core Business Goals

• Outcome 1 — Slashing TCO by 94%: Reducing ~9,000 custom add-ons to <800 standard/BTP extensions via strict Fit-to-Standard.

• Outcome 2 — Compressing Lead Times: Accelerating subsidiary onboarding and process rollouts from 6-12 months down to 4-8 weeks.

• Outcome 3 — Real-Time Global Visibility: Connecting SAP Analytics Cloud directly to live transactional data across 26 countries.

• Upgradability: Ensuring seamless consumption of bi-annual cloud innovation releases with zero regression testing.

Two (2) Discovery Frameworks

• Framework 1 — PESTLE Analysis: Assessing external macro-environmental factors (chip subsidies, FDA/IVDR, export controls, ESG).

• Benefit: Informs a future-proof template accommodating multi-country regulations without modifying the core.

• Framework 2 — Design Thinking: Human-centered discovery (Empathize, Define, Ideate, Prototype, Test).

• Benefit: Eases user transition from 9,000 bespoke screens to SAP Fiori, co-designing BTP apps for true differentiators.

• Deliverable: De-risked business blueprint aligning user needs with standard cloud capabilities.

Project Team Architecture & Functional Synergy

Pairing Deep SAP Domain Expertise with Hitachi High-Tech Business Process Ownership

Lead SAP Functional Consultant (My Role)

• Selected Role: Lead SAP Functional & Business Process Consultant (Solution Architect & Fit-to-Standard Lead).

• Fit-to-Standard Mastery: Directing interactive workshops to map business requirements directly to SAP Best Practices.

• End-to-End Process Expertise: Re-engineering Order-to-Cash, Procure-to-Pay, Plan-to-Produce, and Record-to-Report.

• Clean Core Governance: Performing objective Delta Assessments to route genuine differentiators to SAP BTP.

• Stakeholder Alignment: Harmonizing expectations between Japanese HQ leadership and international subsidiaries.

Complementary Project Team Roles

• SAP Activate Project Manager: Governing timeline, budget, multi-country milestones, and RAID risk management.

• SAP Technical Architect & BTP Specialist: Architecting side-by-side apps, API pipelines, and secure cloud connectors.

• SAP Analytics Cloud (SAC) Specialist: Building real-time CDS views, Datasphere models, and executive KPI dashboards.

• Organizational Change Management (OCM) Lead: Driving user enablement, Prosci ADKAR change champions, and training.

• Hitachi High-Tech Process Owners (BPOs): Partnering as co-innovators to validate flows and drive user acceptance.

Collaborative Delivery Roadmap & Immediate Next Steps

Executing the Transformation Roadmap Across the SAP Activate Lifecycle

SAP Activate Phased Delivery Roadmap

• Prepare Phase (Weeks 1-4): Establish governance charters, provision cloud starter systems, and onboard working teams.

• Explore Phase (Weeks 5-16): Execute Fit-to-Standard workshops, map process deltas, and co-design BTP prototypes.

• Realize Phase (Weeks 17-36): Two-week agile sprints delivering S/4HANA configuration, BTP apps, and SAC models.

• Deploy Phase (Weeks 37-44): Conduct cutover rehearsals, end-user training, and execute production go-live.

• Run Phase: Hypercare support, continuous optimization, and transition to your permanent Center of Excellence (CoE).

Governance Model & Next Steps

• Clean Core Governance Board (CCGB): Weekly cross-functional board approving only high-value, decoupled extensions.

• RACI Alignment: Clear division of accountability across consulting specialists and customer process owners.

• Immediate Action 1: Formal approval and sign-off on the Project Charter.

• Immediate Action 2: Confirmation of Hitachi High-Tech subsidiary Business Process Owners (BPOs).

• Immediate Action 3: Launching initial Discover and Prepare phase sprint workshops next week.